

■ By Saurabh Shukla

Through many of the heady days of the anti-apartheid movement, India led from the front and was a major voice for African liberation at the Non Aligned Movement and the Commonwealth. Then it began reorienting its foreign policy adding large doses of pragmatism that saw much of Africa being sidelined. Now, after more than a decade of neglect, the continent is firmly back on India's strategic radar. Much of this has to do with India's burgeoning energy needs, especially with Africa being called the continent of the future because of its vast untapped energy reserves.

As part of this strategy, India is hosting a high-pitched diplomatic initiative to woo the African leadership at the first India-Africa summit being held in New Delhi on April 8-9. It is expected to be attended by more than a dozen heads of state from the continent. The 14 countries for the summit were selected by the African Union to represent the continent. The change of gear is also a result of some hard-nosed reality—on the need to diversify its energy basket. With almost 70 per cent of India's oil and gas coming from the unstable Gulf region, it is looking for alternatives and Africa holds the promise for the future. It also scores on the quality of its crude which is light and sweet, which means it is viscous and low in sulphur. This makes it an attractive option as it is easier and cheaper to refine than the oil from the Gulf. Africa is important for India's energy security as many countries still have untapped oil reserves. Countries like Nigeria still account for a major chunk of India's energy requirements and, according to some estimates, Africa will account for 12 per cent of global oil supplies, of which India is keen to tap a major chunk given the country's burgeoning energy needs.

From Sudan, Nigeria and Ivory Coast to Gabon and Egypt, Indian companies have a presence in most African nations with oil reserves and are now looking at newer areas such as Malawi and Mauritania. In Sudan, ONGC Videsh Limited, the overseas-investment arm of the government-owned Oil and Natural Gas Corporation, has invested about \$720 million (Rs 2,880 crore) for a 25-per cent stake in the

BLACK GOLD: A Nigerian worker stands at an off-shore oilfield near capital Lagos



THE AFRICAN OIL RUSH

After decades of neglect India looks to ramp up ties as it scouts for oil and strategic partnerships with the continent of the future

Upper Nile Oilfield and plans to invest \$200 million (Rs 800 crore) more in a 741-km product pipeline. India is also trying to match up with aid diplomacy specifically targeted at consolidating its energy assets, since 70 per cent of its oil production is concentrated in West Africa's Gulf of Guinea. Therefore, in the last few months, India has pledged \$500 million (Rs 2,000 crore) in conces-

sional lines of credit to eight West African countries—Burkina Faso, Chad, Equatorial Guinea, Ghana, Guinea-Bissau, Ivory Coast, Mali and Senegal—which, together with India, form the TEAM-9 initiative.

In fact in recent years, trade has grown steadily with current levels estimated at \$25 billion (Rs 1 lakh crore) as the continent offers a big market for